

Strategic Modeling — Module 05: Action —

Discussion Questions

20 questions on competitive moves, first-mover advantage, strategic commitment, and competitive dynamics.

1. How does Amazon's "flywheel" strategy illustrate strategic commitment? What made the commitment credible?
2. Compare first-mover and fast-follower strategies for entering an emerging market. When is each preferable?
3. How does the concept of "strategic commitment" (Ghemawat) relate to Active Inference policy selection?
4. When is market creation (Blue Ocean Strategy) more viable than direct competition? What conditions favor each?
5. How does strategic retreat (exiting a market) create value? Isn't it always a sign of failure?
6. How do competitive action-reaction dynamics create escalation spirals? When should a firm avoid responding to a competitor's move?
7. Why is "burning the boats" (eliminating retreat options) sometimes a stronger strategic move than preserving flexibility?
8. How should the exploration-exploitation trade-off in strategic portfolios shift based on industry life cycle stage?
9. When is a pre-announcement of a future product a credible strategic signal versus vaporware?
10. How do switching costs affect the strategic value of first-mover advantage?
11. Analyze a major strategic move by a company you admire. Was it primarily exploitative or exploratory? What made it succeed or fail?
12. Design a strategic action portfolio for a mid-size company: what fraction should be competitive attacks, market creation, positioning, and exploration?
13. Compare how a startup and a large incumbent should approach exploration-exploitation differently.

14. Your competitor has just made a major strategic commitment (e.g., building a large factory). How should your organization respond?
15. When is speed more important than accuracy in strategic execution? When is the reverse true?
16. How does ecosystem building (creating a platform) differ strategically from competitive attack?
17. Design an experiment to test a strategic hypothesis before making a full commitment.
18. Analyze the strategic logic of a major acquisition. What assumptions made it seem like a good idea?
19. How do you evaluate the "option value" of maintaining strategic flexibility versus the cost of indecision?
20. When does a company's competitive position become so strong that it invites regulatory action? How should this shape strategic planning?